INNOVATION ACCOUNTING AT IMVU

Here's what innovation accounting looked like for us in the early days of IMVU. Our minimum viable product had many defects and, when we first released it, extremely low sales. We naturally assumed that the lack of sales was related to the low quality of the product, so week after week we worked on improving the quality of the product, trusting that our efforts were worthwhile. At the end of each month, we would have a board meeting at which we would present the results. The night before the board meeting, we'd run our standard analytics, measuring conversion rates, customer counts, and revenue to show what a good job we had done. For several meetings in a row, this caused a last-minute panic because the quality improvements were not yielding any change in customer behavior. This led to some frustrating board meetings at which we could show great product "progress" but not much in the way of business results. After a while, rather than leave it to the last minute, we began to track our metrics more frequently, tightening the feedback loop with product development. This was even more depressing. Week in, week out, our product changes were having no effect.

Improving a Product on Five Dollars a Day

We tracked the "funnel metrics" behaviors that were critical to our engine of growth: customer registration, the download of our application, trial, repeat usage, and purchase. To have enough data to learn, we needed just enough customers using our product to get real numbers for each behavior. We allocated a budget of five dollars per day: enough to buy clicks on the then-new Google AdWords system. In those days, the minimum you could bid for a click was 5 cents, but there was no overall minimum to your spending. Thus, we could afford to open an account and get started even though we had very little money.[1]